

China Vanke Cedes Bush Tower to Lender at 52% Discount

\$58.1 million

Transaction value

On June 1, 2026, China Vanke transferred ownership of Bush Tower at 130 West 42nd Street to United Overseas Bank. The Singapore-based lender accepted a deed-in-lieu of foreclosure valued at \$58.1 million, per property records.

What \$58.1 million reveals

\$58.1 million

Transaction value

\$61.9 million

Debt / financing

\$120 million

Debt / financing

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Vanke bought a majority stake in the 220,000-square-foot office building for \$125

Vanke bought a majority stake in the 220,000-square-foot office building for \$125 million in 2015. The 29-story tower overlooks Bryant Park. Its 1918-vintage bones and prime location could not shield it from the office market's structural decline.

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The transfer represents a 52 percent discount to the original loan amount. UOB is not a long-term holder. The bank plans to sell the property, per Bisnow. That timeline is unclear.

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Vanke retains management responsibilities at the building. A company spokesperson called the outcome "mutually agreed" and "in the best interests of all stakeholders." The language is standard for a deed-in-lieu. It masks a forced exit.

Bush Tower's tenant roster tells the story

Bush Tower's tenant roster tells the story. WeWork signed a 64,000-square-foot lease in 2017. The co-working company shed the space during its 2023 bankruptcy restructuring. Home care firm HHAeXchange also vacated recently. Vacancy is not disclosed, but the pattern is clear.

Troubles extend beyond Bush Tower

Vanke's U.S. troubles extend beyond Bush Tower. In 2023, the developer replaced Brown Harris Stevens with Corcoran Sunshine at 100 West 53rd Street. That 63-story condominium project was nearly 60 percent sold at the time, per Corcoran. The development was marred by infighting with initial partner Aby Rosen.

Back in China, Vanke faces existential pressure

Back in China, Vanke faces existential pressure. Its former CEO was reportedly placed under criminal suspicion by Chinese authorities last year. The company was reported to be facing a possible government takeover. The U.S. asset transfers are a symptom of a parent in distress.

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UOB's \$120 million loan was originated in 2018, near the peak of the cycle. The \$58.1 million transfer value implies a per-square-foot price of roughly \$264. That is below replacement cost for a Midtown office tower, even one built in 1918. The lender is taking a realized loss of at least \$61.9 million, plus legal and carrying costs.

The Bush Tower transfer is not an isolated event

The Bush Tower transfer is not an isolated event. Chinese developers entered the U.S. market aggressively between 2013 and 2018, chasing yield and diversification. They are now exiting at distressed prices. The capital that flowed east is flowing back west, but at a steep haircut.

UOB's decision to take the deed rather than foreclose suggests a pragmatic calculation

UOB's decision to take the deed rather than foreclose suggests a pragmatic calculation. A foreclosure auction in the current office market would likely produce an even lower price. The bank avoids a public auction discount and gains control of the sale timeline.

Why it matters

UOB's decision to take the deed rather than foreclose suggests a pragmatic calculation.

LIGHT TOWER GROUP